T_ONESIDE · NIGHT-VOLUME SWITCH · WHOLE STRATEGY · @NQ FUTURES

Hypothesis:

Tested rule: overnight volume decides which trade the morning gets. One ticket a day on NQ. Heavy night (volume above 1.4× the 20-night median): fade the night's move at 09:29 ET, flat at 09:44. Any other night: if the morning was one-sided up and price is above session VWAP at 10:59, buy; out on a close below VWAP or at 11:59. Stop 0.40 / 0.30 of the 20-day range. Never both legs.

Why it should exist: the day's inventory is built in one of two rooms, and overnight volume says which. Heavy night: the positioning already happened, in the thin session, at bad prices. The cash open is the first deep liquidity, so that inventory is marked and unwound there. The morning reverts. Quiet night: nothing was built, so the day's flow has to arrive in the cash session. A morning that lives above the open and VWAP is a parent order still being worked. The morning continues. Same sorting variable, opposite trades. One ticket a day is not a risk rule: a day cannot be both regimes.

What this note proves: the switched book holds in sample (703 trades, PF 1.64, t 4.31) and is alive out of sample (285 trades, PF 1.28, t 1.58), ten of eleven calendar years are positive, and a stop chosen blind on 2016–2020 cut the tail in every later slice. What it does not prove: that volume is a switch. The continuation half is PF 1.06 out of sample, and nobody has run the fade on quiet nights or the long on heavy nights. Until those cells exist, "one mechanism, two regimes" is the hypothesis and "two frozen rules sharing a filter" is the null.

PROVED

Whole book. IS 52.8% / +$125.72 / PF 1.64. OOS 48.8% / +$124.48 / PF 1.28. Average trade flat across the split.

PROVED

Blind stop cuts the tail. Worst trade −$4,004 → −$3,264. PF 1.41 → 1.47. Same 988 entries. MultiCharts matches the tape 51 for 51.

OPEN CASE

Volume as the switch. Off-regime cells not run. Continuation leg IS PF 1.55 → OOS PF 1.06.

Who loses

The wrong room

The overnight chaser who built size in thin liquidity. The morning fader selling a VWAP that a working order keeps lifting.

Who is forced

Inventory with a clock

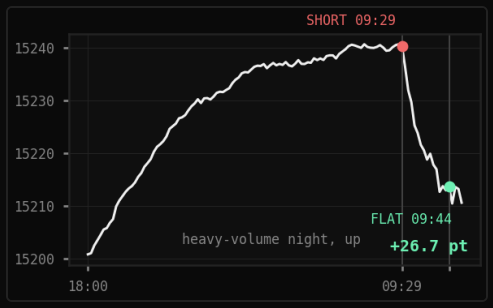
Overnight imbalance has to be offloaded into the bell. A participation order has to finish its morning slice. Neither is a view.

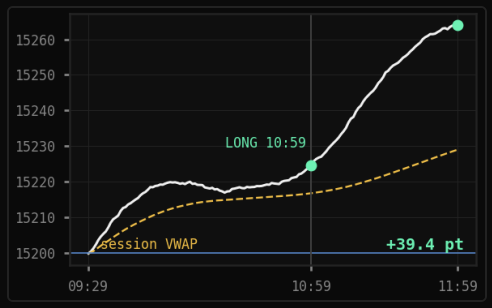
Who wins

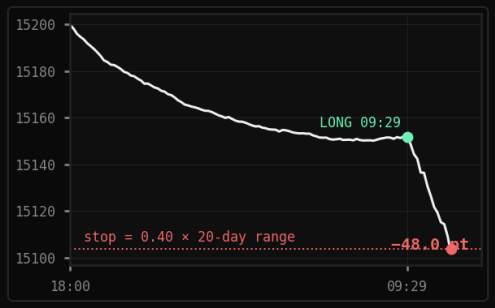
Whoever reads the night

Against the move for 15 minutes after a heavy night, with it for an hour after a quiet one. Payoff edge: average win $764 against average loss −$556, win rate 51.6%.

THREE TAPES · SCHEMATIC 1-MINUTE · NOT A SPECIFIC PRINT







HEAVY NIGHT · REVERT

Night ran on volume. Short 09:29, flat 09:44. The open takes it back.

QUIET NIGHT · CONTINUE

Nothing built overnight. Morning above the open and VWAP. Long 10:59, out by 11:59.

WRONG REGIME · THE STOP

A heavy night that was information, not inventory. It keeps going; 0.40 of the 20-day range ends it.

IN-SAMPLE VS OUT-OF-SAMPLE · MULTICHARTS @NQ · SPLIT 2023-09-08 · INIT $50,000



Method:

NQ on 1-minute Globex bars. Overnight volume is the switch; one ticket a day, never both legs. Heavy night → fade the overnight move 09:29–09:44 ET. Otherwise, one-sided morning above VWAP → long 10:59–11:59 ET. Volatility stop on both. Rule built on data before 2023-09-08 and frozen; stop chosen on 2016–2020 only.

INSTRUMENT	NQ futures. Report size 1 NQ. Prop ticket @MNQ.
BARS	1-minute, Globex session, close-stamped. Next-bar market orders only. IOG off, bar magnifier off.
LIVE CLOCK	Chart in Central. Fade fills 08:29:00 CT (09:29 ET), flat 08:44:00. Long fills 09:59:00 CT (10:59 ET), flat by 10:59:00 CT.
HEAVY NIGHT	Overnight volume (17:00 → 08:29 CT) above 1.4 × the median of the prior 20 nights, at least 30 night bars.
OPEN FADE	Heavy night only. Night up → short. Night down → long. Hold 15 minutes. No target.
ONESIDE LONG	Not a heavy night. (High − open) > 2 × (open − low) over the morning, and last close above session VWAP. Exit on a close below VWAP, else 11:59 ET.
STOP	0.40 × ATRd on the fade, 0.30 × ATRd on the long. ATRd = mean 09:31–16:00 ET range of the last 20 full sessions.
IN-SAMPLE	Date < 2023-09-08. This export: 2016-10-07 to 2023-09-07, 703 trades.
OUT-OF-SAMPLE	Frozen split 2023-09-08. MultiCharts runs through 2026-08-13: 285 trades.
COST	MultiCharts $1.75 commission + $5 slippage per side = $13.50 a round turn. Desk figure is $16.50; it moves every average by $3.
FROZEN	1.4 × volume, 2 × one-sidedness, 20 nights, 15 minutes, the clocks. Named once, never swept.
STOP DESIGN	Rule fixed first: tightest stop keeping ≥ 90% of the no-stop net on 2016–2020 with worst-case fills. One confirm on 2021–2023. One look at 2024–2026.
SCOPE	NQ only. No ES. No gold. One position at a time next to the 30-minute breakout book.
NOT THIS	Unconditional gap fade. Opening-range breakout. Overnight drift. MAGNET18 (that is the 11:30 hold; this is done by noon).

The stop was chosen blind.

Seven stop sizes, two legs, scored on 2016–2020 only. With every stop filled at the worst price of its minute, 0.30 keeps 86% of the fade's profit and fails the rule; 0.40 keeps 97% and passes. Confirmed once on 2021–2023. Then one look at 2024–2026: net, profit factor, worst trade and drawdown all better. The multiples do not move again.

MultiCharts matches the tape.

An independent minute-by-minute replay predicted which in-sample trades would stop out. MultiCharts stopped 51. The replay said 51. Zero mismatches either way, and the other 679 in-sample trades exit at the same minute and price with or without the stop. Stop distances agree to within one tick.

It enters before the bell.

Bars are stamped at their close, so the bar marked 09:30 ET is the minute before the open. Median volume on that bar is 614 contracts; on the next it is 3,981. The fade is filled at 09:29:00 and holds through the open. Every number here was run that way and the live file does the same.

Both sides pay. Not a drift bet.

Fade longs after a down night: 228 trades, 59.6%, PF 1.60. Fade shorts after an up night: 190 trades, 55.3%, PF 1.64. A short book that pays on NQ over 2016–2026 is not riding the index.

Results:

WIN RATE	AVG TRADE	PROFIT FACTOR	NET PROFIT
51.6%	$125.36	1.47	$123,857

TRADES	MAX DD	IS PF	OOS PF
988	−$14,058	1.64	1.28

IN-SAMPLE VS OUT-OF-SAMPLE · MULTICHARTS EQUITY, 1 NQ · VERTICAL LINE = 2023-09-08 · GREY = NO STOP



Cell	Book	n	WR	Avg trade	PF	Worst trade	Max DD
BY LEG · WITH STOP · 1 NQ · SPLIT 2023-09-08							
Open fade 09:29 → 09:44	IS	307	58.3%	$176.03	1.71	−$2,648	−$7,175
Open fade 09:29 → 09:44	OOS	111	55.9%	$281.32	1.51	−$3,264	−$11,240
fade, long side (night was down)	ALL	228	59.6%	$217.99	1.60	−$3,264	−$11,236
fade, short side (night was up)	ALL	190	55.3%	$187.18	1.64	−$2,898	−$7,248
ONESIDE long 10:59 → 11:59	IS	396	48.5%	$86.71	1.55	−$1,974	−$6,702
ONESIDE long 10:59 → 11:59	OOS	174	44.3%	$24.43	1.06	−$2,434	−$9,240
STOP vs NO STOP · SAME 988 ENTRIES · STOP CHOSEN ON 2016–2020 ONLY							
No stop 2016–2020 design	MC	437	51.7%	$81.35	1.62	−$2,524	−$4,422
Stop 2016–2020 design	MC	437	51.5%	$84.33	1.67	−$1,874	−$4,070
No stop 2021–2023 confirm	MC	293	52.2%	$138.43	1.41	−$3,478	−$11,396
Stop 2021–2023 confirm	MC	293	52.2%	$157.30	1.49	−$2,648	−$10,368
No stop 2024–2026 forward	MC	258	51.6%	$149.04	1.32	−$4,004	−$14,608
Stop 2024–2026 forward	MC	258	51.2%	$158.59	1.35	−$3,264	−$11,172
MULTICHARTS · 1 NQ · $1.75 + $5 SLIP PER SIDE · 2016-10-07 → 2026-08-13							
IS < 2023-09-08	MC	703	52.8%	$125.72	1.64	−$2,648	−$7,786
OOS ≥ 2023-09-08	MC	285	48.8%	$124.48	1.28	−$3,264	−$11,172
All 2016–2026	MC	988	51.6%	$125.36	1.47	−$3,264	−$14,058
All 2016–2026, no stop	MC	988	51.8%	$115.95	1.41	−$4,004	−$14,608

By year, with stop: 2016 $185 · 2017 −$2,580 · 2018 $9,842 · 2019 $5,327 · 2020 $24,078 · 2021 $20,478 · 2022 $13,412 · 2023 $12,198 · 2024 $18,435 · 2025 $5,876 · 2026 $16,606. 2017 is the only losing year; 2025 is the weak one. The win rate is near 50%: this is a payoff edge (average win $764, average loss −$556), not a frequency edge. MultiCharts fills every stop exactly at its price.

Conclusion:

The switched book is the result. IS 703 trades, 52.8% WR, +$125.72, PF 1.64. OOS 285 trades, 48.8% WR, +$124.48, PF 1.28, t 1.58: alive, not proved. Ten of eleven years positive; 2017 is the losing year, 2025 the weak one. It is a payoff edge, not a frequency edge. The blind stop took the worst trade from −$4,004 to −$3,264 and the drawdown from −$14,608 to −$14,058 without costing profit. The mechanism is not proved. The two halves are not equally healthy: the reversion half is OOS PF 1.51, the continuation half OOS PF 1.06 (+$24.43 a trade, under twice the round turn). A whole-strategy story does not rescue that leg. It says where to test it: if volume really sorts reverting mornings from continuing ones, the off-regime cells below must be weaker. If they are not, this is two rules, and the weak one goes first.

WHAT WOULD FALSIFY IT · PRE-DECLARED · IN-SAMPLE ONLY · NONE RUN YET

1. Fade on quiet nights
Must be clearly weaker than the fade on heavy nights. If it is about the same, volume is not the switch and this is a gap fade with a density filter.

2. Long on heavy nights
Must be weaker than on quiet nights. One datapoint on file: MAGNET18's afternoon long after a fat up night is −13.55 pt, n = 74.

3. Dose-response
Fade mean by tercile of the volume ratio should be ordered. Flat or humped means 1.4× is a lucky cut.

4. Symmetry
Quiet night, one-sided down morning below VWAP should continue too. If only the long pays, that leg is Nasdaq drift. The fade already passes: short side PF 1.64.

5. The pre-open minute
The fade fills at 09:29:00, a minute before the bell. If the edge is only that minute, "the cash open unwinds it" is wrong even if the P&L is real.

Already killed
Tight stop (0.10 keeps 34% of the fade). 0.30 on the fade (fails the 90% rule on worst-case fills). 30-minute chart. Inside the eval (pass rate 37% → 24%).

What I will not do: retune 1.4 × / 2 × / the stop multiples after seeing 2024–2026, add a target, trade both legs on one day, or call the switch proved before cells 1–3 exist. Five cells go on the trial count when they run.

What I want feedback on:

1. Is overnight volume a regime variable or a density filter? If you have the tape, cells 1–3 answer it. If the fade pays as well on quiet nights, I drop the switch sentence.

2. Stop fills in the opening minutes. The backtest fills every stop at its price. In sample the stop stops paying for itself at about 2–3 points of extra slippage per stop-out. Live NQ stop fills 09:29–09:44 ET decide whether it is a tail cut or a cost.

3. The continuation leg went from PF 1.55 to 1.06. Regime or dead? The same gate on ES separates Nasdaq drift from flow. If ES is dead too, I cut it.

Attached:

Attached: markdown table · MultiCharts, 1 NQ, $13.50 round turn

Cell	Book	n	WR	Avg	PF	Worst	Max DD
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MC all, no stop	MC	988	51.8%	$115.95	1.41	−$4,004	−$14,608